

HOME DEPOT - CORPORATE BANKING CREDIT MEMO

Illustrative \$3.0B incremental senior unsecured debt underwriting case

Borrower	The Home Depot, Inc.	Recommendation	LEND WITH CONDITIONS
Proposed financing	\$3.0B	Illustrative coupon	6.0%
Current funded debt	\$55.8B	Current Debt / EBITDA	2.23x
Pro forma Debt / EBITDA	2.35x	Moderate downside	2.65x
Current interest coverage	8.66x	Moderate downside FCF	\$10.6B

Credit View

Home Depot remains a strong cash-generating borrower, but recent acquisition financing has increased funded debt and near-term refinancing needs. The proposed \$3.0B issuance is supportable in the base case and remains inside the 2.75x leverage guardrail in the moderate downside case. Coverage remains strong, although the severe downside case moves leverage above 3.0x and supports a conditional rather than unrestricted lending recommendation.

Credit strengths	Key risks / watch items
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- \$12.6B of latest-year free cash flow provides substantial debt-service capacity.
 - 8.66x EBIT / interest coverage before incremental financing.
 - \$11.0B of back-up credit facilities were undrawn at February 1, 2026.
 - Share repurchases remain paused while management focuses on reducing debt.
- \$4.7B of long-term debt matures in fiscal 2026, followed by \$3.6B in fiscal 2027.
 - \$4.5B of commercial paper was outstanding at year-end.
 - Moderate downside pushes pro forma funded leverage to approximately 2.65x.
 - Severe downside pushes pro forma leverage to approximately 3.01x.

Borrower Financial Profile

Metric	FY2023	FY2024	FY2025	Trend
Net sales (\$B)	152.7	159.5	164.7	Up
EBITDA (\$B)	24.9	25.3	25.0	Stable
Interest expense (\$B)	1.9	2.3	2.4	Higher
Operating cash flow (\$B)	21.2	19.8	16.3	Lower
Free cash flow (\$B)	17.9	16.3	12.6	Lower

CAPITAL STRUCTURE, DEBT CAPACITY & RECOMMENDATION

Capital Structure & Liquidity

Metric	Amount	Liquidity source	Amount
Commercial paper	\$4.5B	Cash & equivalents	\$1.4B
Long-term debt incl. current	\$51.3B	Back-up credit facilities	\$11.0B
Total funded debt	\$55.8B	Remaining CP program capacity	\$6.5B
Net debt	\$54.4B	Committed liquidity	\$12.4B

Near-Term Debt Maturities

FY2026	FY2027	FY2028	FY2029	FY2030	Thereafter
\$4.7B	\$3.6B	\$3.1B	\$3.9B	\$2.1B	\$32.0B

\$3.0B Financing Scenario

Metric	Current	Base + \$3B	Moderate downside	Severe downside
EBITDA (\$B)	25.0	25.0	22.2	19.5
Funded debt (\$B)	55.8	58.8	58.8	58.8
Debt / EBITDA	2.23x	2.35x	2.65x	3.01x
Interest coverage	8.66x	8.06x	7.05x	6.11x
FCF after new interest (\$B)	12.6	12.5	10.6	8.9

Debt Capacity & Recommendation

Moderate-downside debt capacity: **\$5.3B** | Requested: \$3.0B | Headroom: \$2.3B

RECOMMENDATION: LEND WITH CONDITIONS

- Maintain funded Debt / EBITDA at or below 2.75x on the underwritten base / moderate case.
- Maintain EBIT / interest coverage above 5.0x.
- Maintain at least \$8.0B of committed liquidity.
- No incremental debt-funded share repurchases while leverage remains elevated.
- Monitor fiscal 2026-2029 maturities and commercial paper refinancing exposure.

Sources: The Home Depot FY2025 Form 10-K (SEC filing dated March 18, 2026); Home Depot Investor Relations annual report materials. Scenario coupon and underwriting thresholds are illustrative model assumptions, not market quotes or lender commitments.